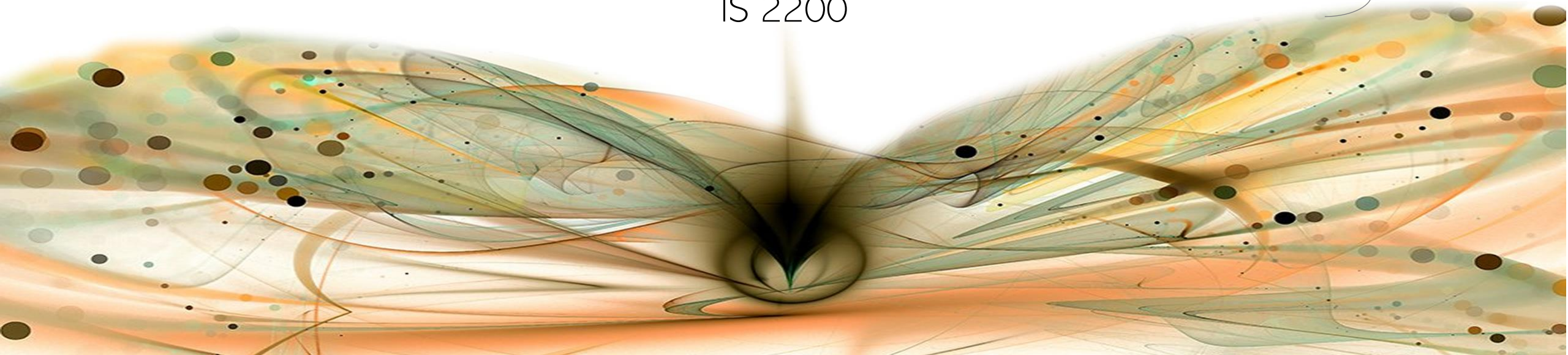
Consumer Segmentation and Solution Classification

IS 2200



why?

Similar solutions exist in the marketplace and why people buy them?

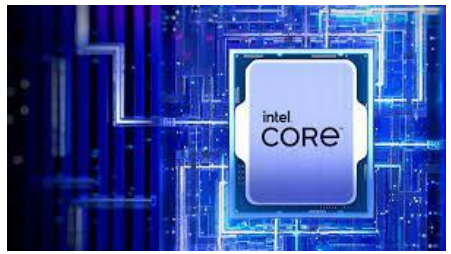


Mac mini | M2 | 256



Because they are designed for different **markets** and the value profile will be different in each





transformers

thinking

- dimensional difference {rotation}
- composition difference
- cyclical difference

skill

- develop classifiers
- assessing a difference
- Template formation

segmenting

Dividing a market into distinct needs, characteristics, or behavior that might require separate product or marketing mixes

Understanding the similarities and differences in the market

now suppose that you are to launch a new product or redesign the existing one…what would you do?

when you are to design a solution, first thing that should come to your mind is…

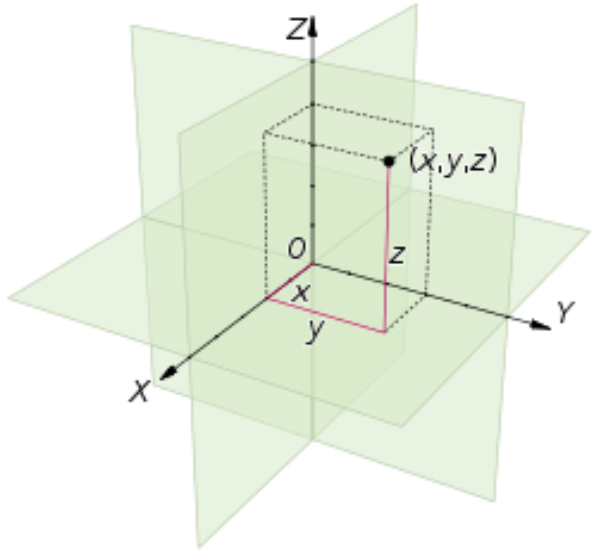
what pains am I going to provide a solution for?

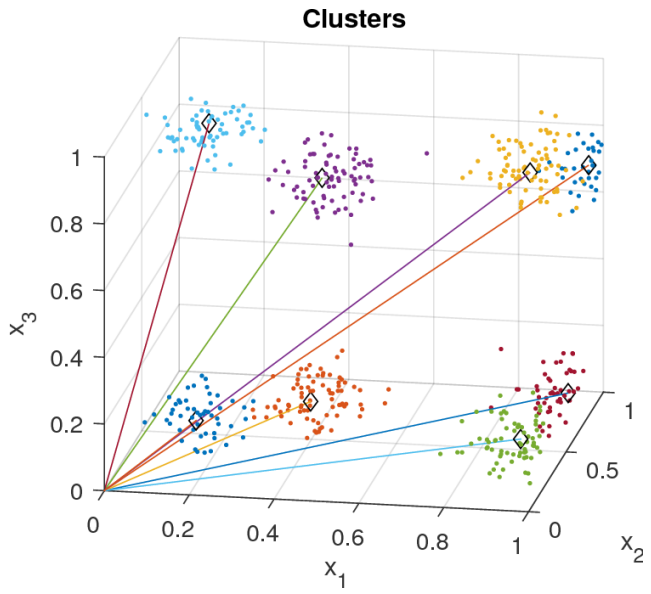
Through a product, you provide an answer to a consumer's question

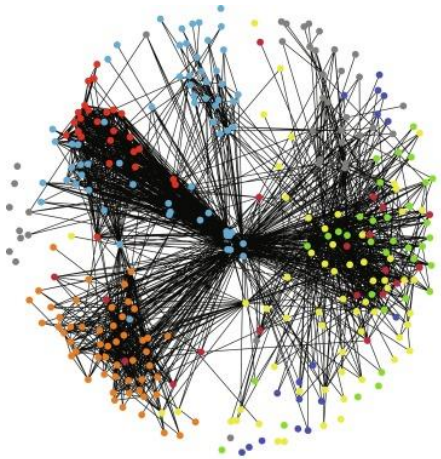
How many of your consumers will give "YES" to your solution?

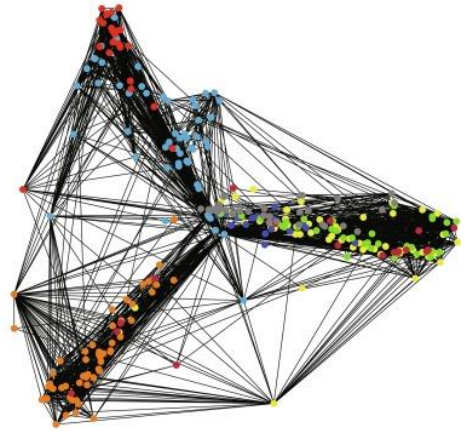
multidimensional nature classification

They are the splits in the multidimensional space. These spits will coincide with differential consumptions.



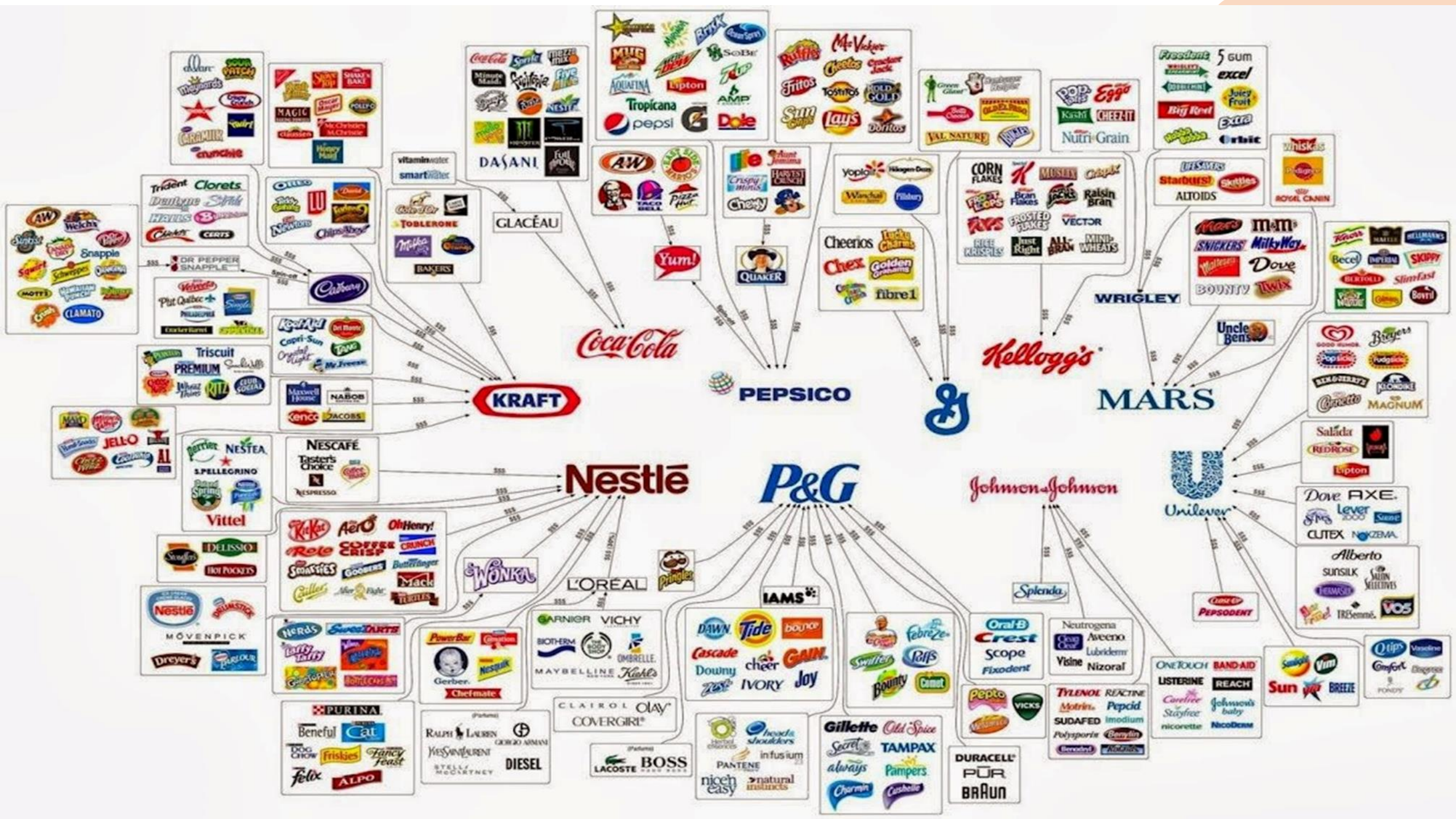








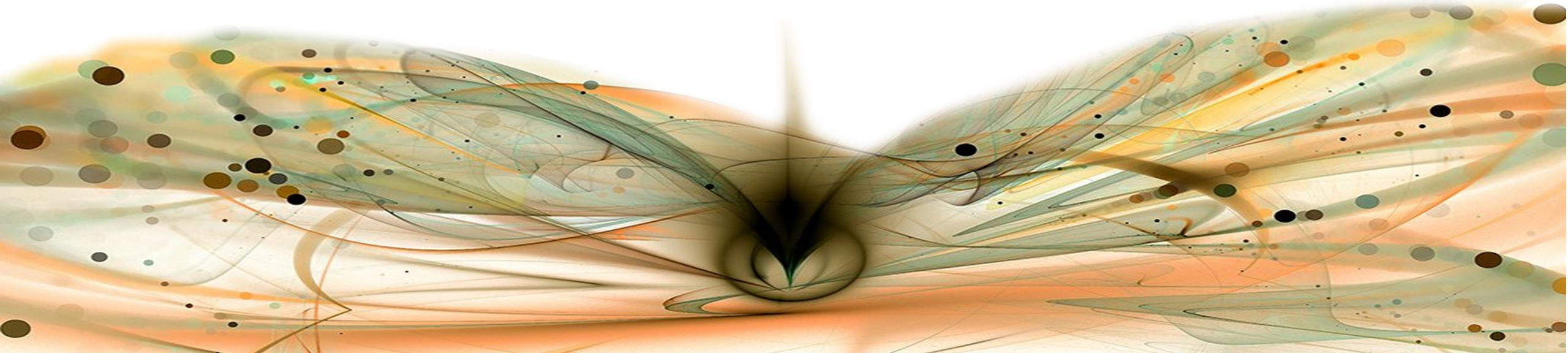
Ryzen™ 9 7950X	16-Core 32-Thread Up to 5.7 GHz / 4.5 GHz	80MB Cache 170W TDP
Ryzen™ 9 7900X	12-Core 24-Thread Up to 5.6 GHz / 4.7 GHz	76MB Cache 170W TDP
Ryzen™ 7 7700X	8-Core 16-Thread Up to 5.4 GHz / 4.5 GHz	40MB Cache 105W TDP
Ryzen™ 5 7600X	6-Core 12-Thread Up to 5.3 GHz / 4.7 GHz	38MB Cache 105W TDP


KRAFT
Coca-Cola
PEPSICO
Kellogg's
MARS
Nestlé
P&G
Johnson & Johnson
Unilever
WRIGLEY
GLACÉAU
Yum!
QUAKER
Cadbury
DR PEPPER SNAPPLE
vitaminwater
smartwater
DASANI
Tropicana
pepsi
Lipton
SoBe
AMP
Dole
AQUAFINA
Fritos
Ruffles
Lay's
Doritos
Cheetos
Tostitos
Sun Chips
Cracker Jack
Gatorade
AW
TACO BELL
Pizza Hut
Crispy Minis
Chewy
Aunt Jemima
Harvest Crunch
Cheerios
Chex
Lucky Charms
Golden Grahams
fibre1
Yoplait
Häagen-Dazs
Winalot
Pillsbury
CORN FLAKES
Special K
MUSLIX
Crispix
FROOT LOOPS
Bran Flakes
Raisin Bran
FROSTED FLAKES
VECTOR
RICE KRISPIES
Just Right
All-Bran
MINI-WHEATS
Nutri-Grain
Eggo
Kashi
CHEEZ-IT
Freedent
5 gum
excel
Juicy Fruit
Big Red
Extra
Orbit
LIFESAVERS
Starburst
Skittles
ALTOIDS
Whiskas
ROYAL CANIN
SNICKERS
M&M's
MilkyWay
Dove
BOUNTY
Twix
Uncle Ben's
Knorr
Becel
SKIPPY
Slimfast
BERTOLLI
Carte D'Or
TOBLERONE
Milka
BAKERS
Trident
Clorets
Dentyne
HALLS
CERTS
Oreo
Chips Ahoy!
Newtons
Velveeta
Pâté Québec
Philadelphia
Snack Mates
Capri-Sun
Crystal Light
Tang
Kool-Aid
Triscuit
PREMIUM
Wheat Thins
RITZ
CLUB SOCIAL
Maxwell House
NABOB
Kenco
JACOBS
Jell-O
Maxwell House
Nescafé
Taster's Choice
NESPRESSO
Perrier
NESTEA
S.PELLEGRINO
Vittel
DELISSIO
Hot Pockets
Nestlé
MÖVENPICK
Drumstick
Dreyer's
Häagen-Dazs
KitKat
Aero
Oh Henry!
Rolo
Coffee Crisp
CRUNCH
Smarties
Goobers
Butterfinger
Mackintosh
Turtles
Nerds
SweeTarts
Laffy Taffy
Gobstopper
Wonka
L'ORÉAL
Garnier
Vichy
Biotherm
Maybelline
Ombrelle
Kiehl's
Pringles
PowerBar
Gerber
Nestlé
Chefmate
PURINA
Beneful
Cat Chow
Friskies
Fancy Feast
Felix
Alpo
CLAIROL
Olay
COVERGIRL
Ralph Lauren
Giorgio Armani
Yves Saint Laurent
Stella McCartney
DIESEL
LACOSTE
BOSS
IAMS
DAWN
Tide
bounce
Cascade
Downy
cheer
GAIN
Ivory
Joy
head & shoulders
infusium
PANTENE
nice'n easy
natural instincts
Gillette
Old Spice
Secret
TAMPAX
always
Pampers
Charmin
Cashmere
Swiffer
Febreze
Olay
Tide
Ariel
Lenor
Bounty
Comet
DURACELL
PUR
BRAUN
Splenda
Oral-B
Crest
Scope
Fixodent
Pepto-Bismol
VICKS
Neutrogena
Aveeno
Lubriderm
Visine
Nizoral
TYLENOL
REACTINE
Motrin
Pepcid
SUDAFED
Imodium
Polysporin
Benadryl
ACUVUE
ONETOUCH
BAND-AID
LISTERINE
REACH
Carefree
Stayfree
Johnson's baby
nicorette
NicoDerm
Salada
RED ROSE
Lipton
Dove
AXE
Lever 2000
Sunsilk
CLUTEX
NOXZEMA
Alberto
SUNSILK
Salon Selectives
TRESemmé
VO5
Pepsodent
Sunsilk
Vim
Sun
Jif
BREEZE
Q-tips
Vaseline
Comfort
Elsève
POND'S
Ragú
Bertolli
Classico
Knorr
Hellmann's
Becel
Skippy
Slimfast
Boursin
Carte D'Or
Magnum
Ben & Jerry's
Breyers
Popsicle
Fudgsicle
Klondike
Cornetto
Calgonit
Finish
Sun
Vanish
Vizir
Surf
Skip
Omo
Rinso
Lux
Radox
Impulse
Sunlight
Wisk
Cif
Domestos
Persil
Dove
Pond's
Vaseline
Simple
Lifebuoy
Knorr
Hellmann's
Amora
Becel
Flora
Rama
Blue Band
Lätta
Slimfast
Boursin
Carte D'Or
Ben & Jerry's
Magnum
Cornetto
Calgonit
Finish
Sun
Vanish
Vizir
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Lifebuoy

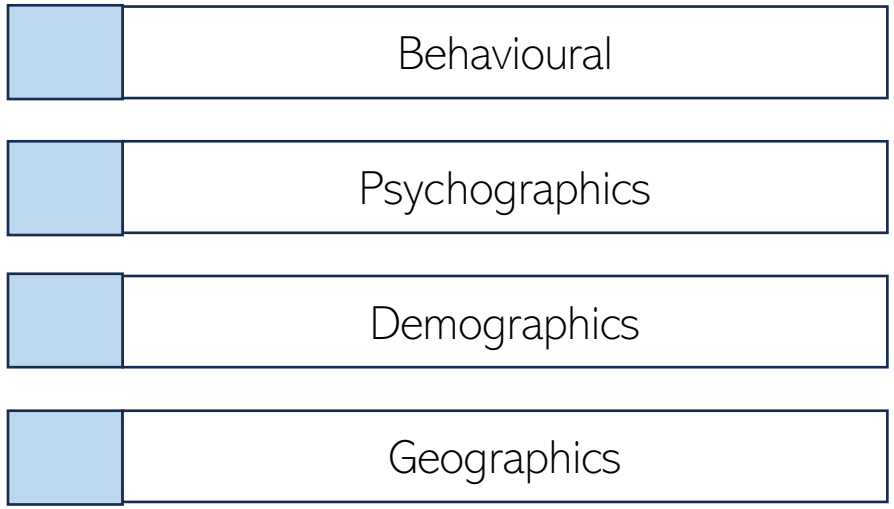
Why Segmenting?

- Identify the customer needs and wants
  - They are different in their pains and resources to attend to pains
- Higher profits
- Growth opportunities
- Sustainable customer relationships in phases of customer lifecycle
- Better communication
- Stimulate innovation through understanding differences

Classifiers



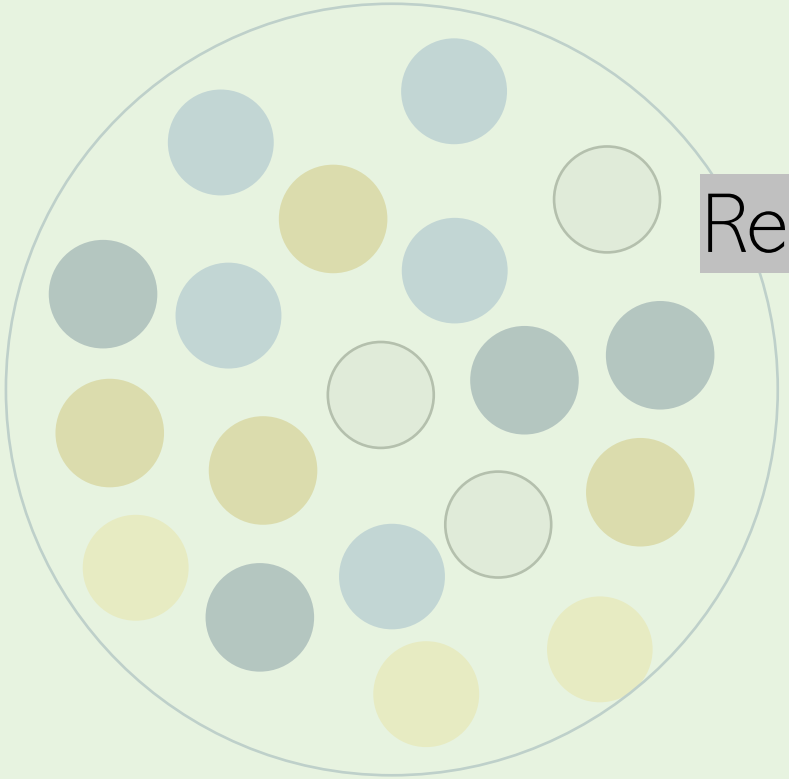
segmentation bases



These are the dimensions of the segmentation. One or more dimensions may be used to identify a full cycle of consumption

pre | on | post

Collection of Similar
cognitive and affect states



Remember this slide?

Psychographics
Behavioural

Market

Demographics

Market
Docker

Geographic

© BLD Seneviratne

Geographic Segmentation



- Divide the market based on different geographical units
  - E.g. State, region, cities, countries
- Need to understand unique challenges posed by nature
- National culture is determined by nature



Demographic Segmentation

Statistics of the population

- Age and life-cycle stage
  - E.g. Children, teens, adults
  - Insurance, bank a/c
- Gender Segmentation
  - E.g. Cloths, Washing machines, polishers, lawnmower
- Income segmentation

  Jaguar vs Hyundai

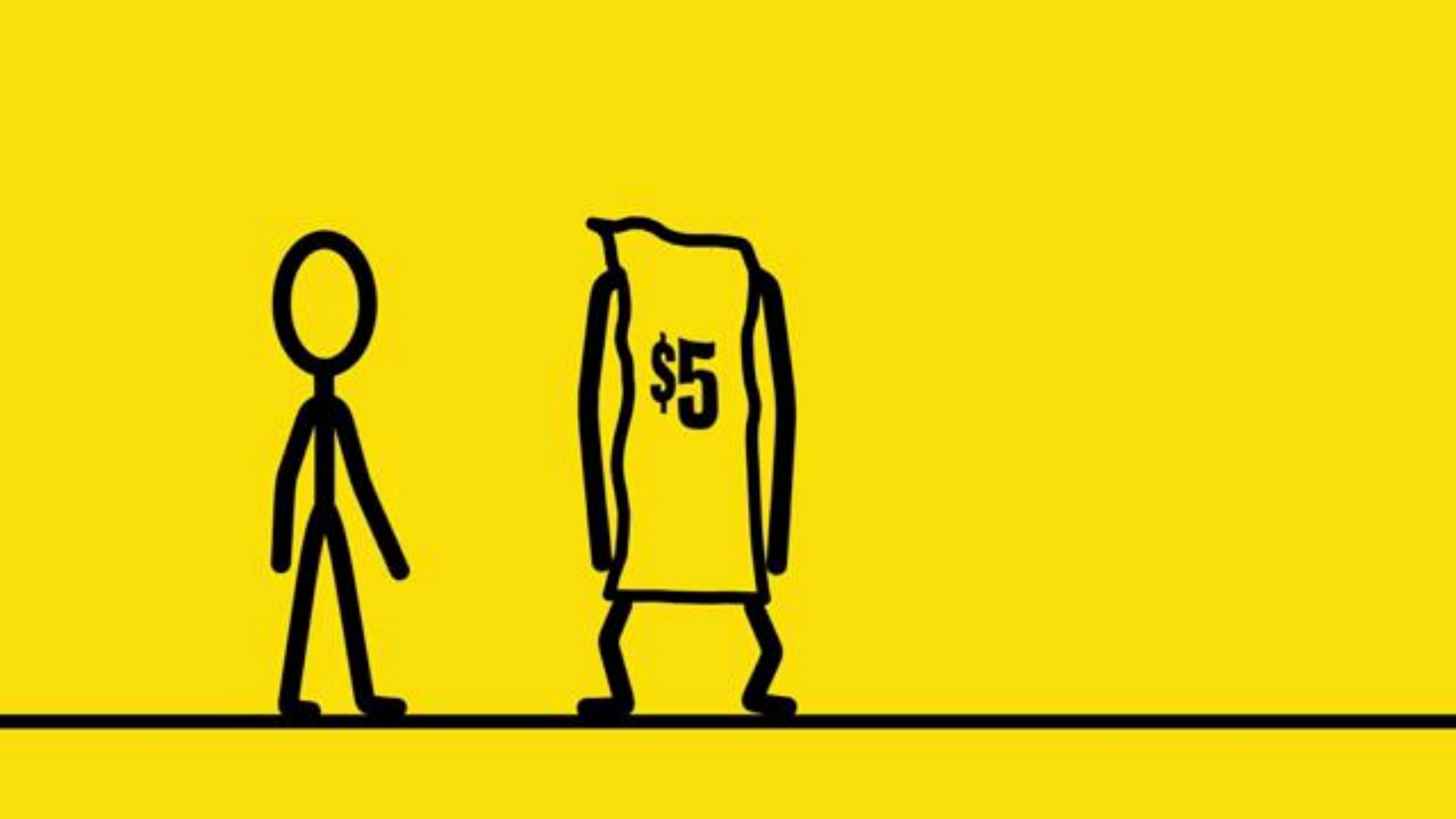






Income-based segmentation

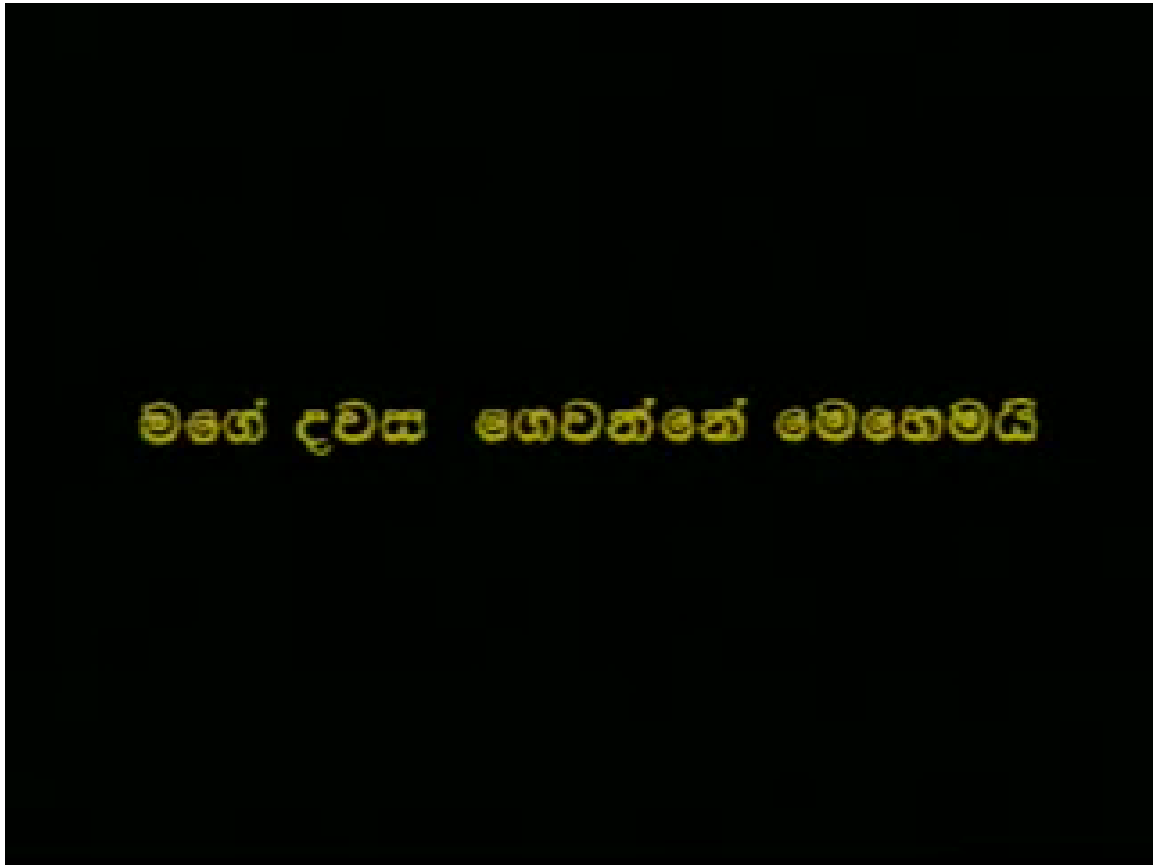



$5

Psychographic Segmentation

- Divide a market into different groups based on what you express through your inner self.
  - Social class
    - Clubs
  - Lifestyle
    - Eg. Lion, Pepsi, Nescafe
  - Personality characteristics
    - E.g. Marlboro

"Expression" segmentation





Harley Davidson gives out a lifestyle more than a bike……

…but it cannot do that without an extremely good bike.

external

Behavioral Segmentation

- Divide the market into groups based on knowledge, use or respond to a product
  - Occasions segmentation
    - Valentine's day, birthdays
    - Consumption moment
      - e.g Nestomalt: Dawasa patanganna Nestomalt
        - Marmite ready to drink
  - Benefit segmentation : usefulness
    - Based on the different benefits that a consumer seeks from a product
    - Value priorities
    - E.g. Standard V Enterprise editions of software



Behavioral Segmentation (Cont.)

- Usage status
  - Whether nonusers, new users, current users, and ex-users
  - Different marketing mixes should be used depending on the current and desired status
- Usage rate
  - E.g. internet usage

Effective Segmentation – Evaluative matric

Measurable	Size, purchasing power, profiles of segments can be measured.
Accessible	There should be visible contact points for the segment to be reached.
Substantial	Segments must be large or profitable enough to serve.
Differential	Different segments should differently respond to the specific marketing programs. If they respond same, then they should be grouped together
Actionable	Different marketing programs can be designed considering the resources company has to server a segment.

Developing segmenting matrix

